

Equity Research Engine

Oscar Schjelderup

Kid – A wonderful business at a fair price

Initiation of coverage – HOLD, target price NOK 126.00

23.09.2026

Analyst

Presenting a model-driven investment case on Kid ASA.



OS

University: Copenhagen Business School

Year of study: 2nd year

Experience: HA Invest member

Oscar Schjelderup

Company overview

Kid ASA – Home furnishing retail in Norway, Sweden, Finland, Estonia

7.5% revenue CAGR, 12.3% EBITDA margin and 1.5x net debt/EBITDA — market cap NOK 5.0bn

Company snapshot1

Sector: Home furnishing retail
Footprint: Norway, Sweden, Finland, Estonia
Business model: Vertically integrated private-label retail (Kid, Hemtex)
Scale: Employees: 454 | Revenue 2025A: NOK 3,945m
Market cap: NOK 4,967m | EV NOK 6,048m
Share price: NOK 122.20 | 52w range 112.0–154.6

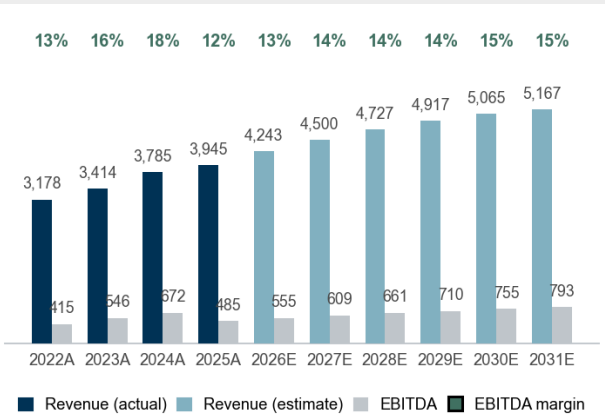
Investment highlights2

- **Consistent growth:** revenue compounded at 7.5% p.a. over 2022–2025, reaching NOK 3,945m
- **Margin profile:** pre-IFRS 16 EBITDA margin of 12.3% in 2025A (down from 13.1% in 2022A), EBIT margin 8.7%
- **Weak cash conversion:** unlevered FCF of NOK 13m in 2025A, 3% of EBITDA (average 44% over 2022–2025), ROIC 13%
- **Balance sheet:** net debt of NOK 1,081m equals 1.5x EBITDA, a conservative leverage level

Management team3

- MF** Marianne Fulford
CEO
- MK** Mads Kigen
CFO
- SB** Stian Brandhagen
Head of Sustainability
- JG** Josephine Gisaeus
Sourcing Director & Primary Insider

Revenue and EBITDA (NOKm)4



Share price vs OSEBX (5 years)5



Key ratios6

	2023A	2024A	2025A	2026E	2027E
Revenue growth	7.4%	10.9%	4.2%	7.6%	6.1%
EBITDA margin	16.0%	17.8%	12.3%	13.1%	13.5%
EBIT margin	12.8%	14.3%	8.7%	9.7%	10.1%
FCF margin	12.9%	9.5%	0.3%	5.1%	5.9%
ROIC	18.6%	21.3%	12.5%	—	—
Net debt / EBITDA	0.5x	0.4x	1.5x	—	—
Payout ratio	74%	66%	133%	—	—

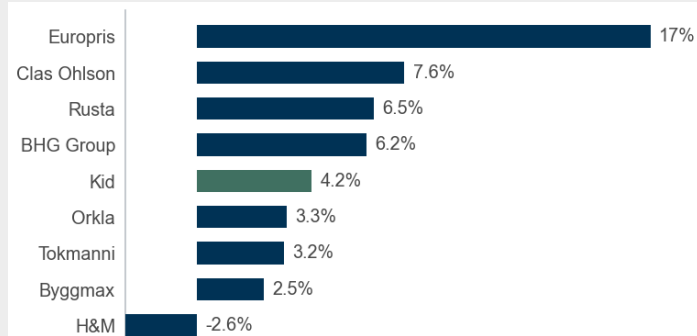
Sources: Company reports, Yahoo Finance, Equity Research Engine estimates
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Market overview

Kid versus peer group: growth, profitability and the drivers behind the case

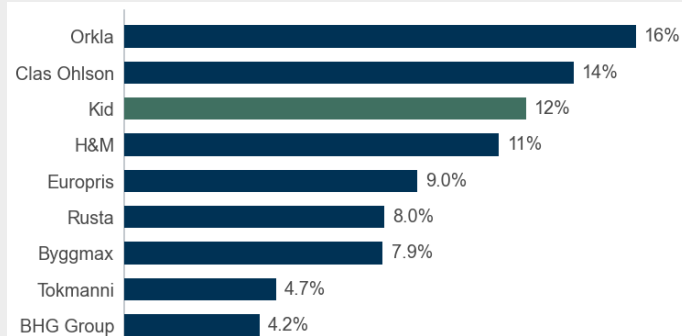
Revenue growth vs peers (last fiscal year)

1



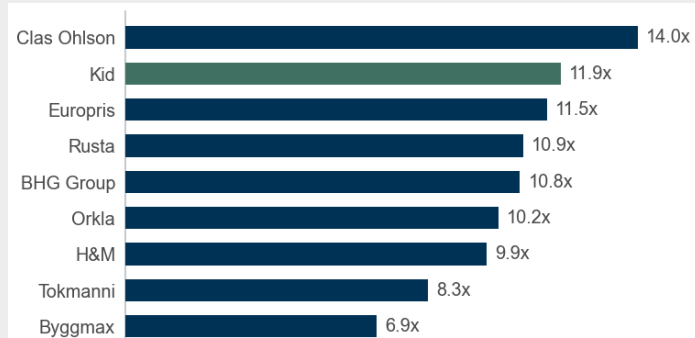
EBITDA margin vs peers (lease-adjusted)

2



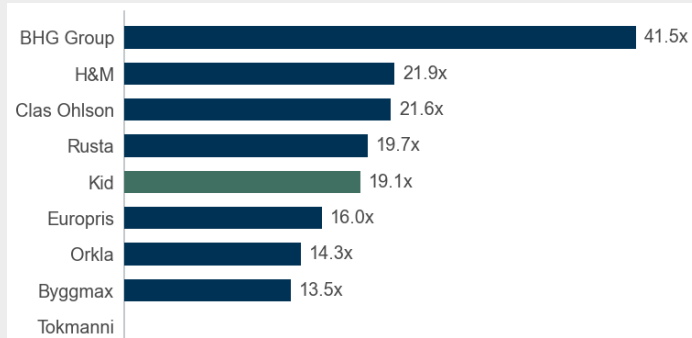
EV/EBITDA vs peers

3



P/E vs peers (trailing)

4



Opportunities

- Swedish recovery supports the Hemtex segment
- Opportunity to **increase square metres per store** and sell the full range in existing stores

Disruption

- Direct-to-consumer** online players threaten in-store sales
- Competitors adopting **AI-driven inventory management**

Threats

- Potential **cost spikes in raw material and freight** prices
- Tariffs on Chinese production** would hit sourcing costs

Financials and estimates

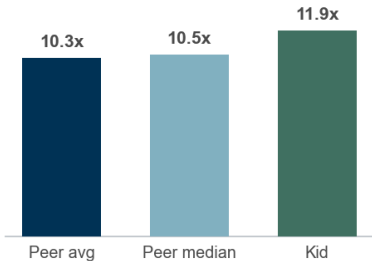
Kid financials, pre-IFRS 16 basis (NOKm)

	HISTORICAL				FORECAST						
NOKm	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E	2031E	TV
Revenue	3,178	3,414	3,785	3,945	4,243	4,500	4,727	4,917	5,065	5,167	5,270
Growth	–	7.4%	10.9%	4.2%	7.6%	6.1%	5.0%	4.0%	3.0%	2.0%	2.0%
EBITDA	415	546	672	485	555	609	661	710	755	793	809
Margin	13.1%	16.0%	17.8%	12.3%	13.1%	13.5%	14.0%	14.4%	14.9%	15.3%	15.3%
EBIT	330	438	541	343	410	456	500	542	582	617	629
Margin	10.4%	12.8%	14.3%	8.7%	9.7%	10.1%	10.6%	11.0%	11.5%	11.9%	11.9%
NOPAT	258	342	433	273	320	355	390	423	454	481	491
Margin	8.1%	10.0%	11.4%	6.9%	7.5%	7.9%	8.3%	8.6%	9.0%	9.3%	9.3%
Unlevered FCF	162	442	358	13	216	266	316	368	419	468	478
FCF margin	5.1%	12.9%	9.5%	0.3%	5.1%	5.9%	6.7%	7.5%	8.3%	9.1%	9.1%
Multiples (at current price)	2025A	2026E	2027E	2028E	Consensus (4 analysts) Target: NOK 139.50 (range 125–155) Ratings: 2 buy / 2 hold / 0 sell Engine: HOLD, TP NOK 126.00 (+3%)						
EV/Sales	1.5x	1.4x	1.3x	1.3x							
EV/EBITDA	12.5x	10.9x	9.9x	9.1x							
EV/EBIT	17.7x	14.7x	13.3x	12.1x							
P/E	21.7x	17.9x	15.9x	14.3x							
FCF yield	0.3%	4.4%	5.4%	6.4%							

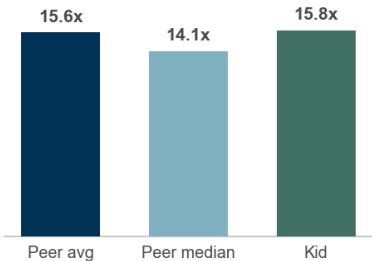
Financial commentary

- **Kid grew revenue by 4.2% in 2025A** to NOK 3,945m, with pre-IFRS 16 EBITDA of NOK 485m (12.3% margin)
- **2026E is built on the 2 reported quarters:** revenue +8.1% year-to-date at a 9.0% EBITDA margin (8.2% a year earlier); the rest of the year at +7.2% growth on last year's seasonal margins gives NOK 4,243m (+7.6%) and a 13.1% margin; growth then follows consensus (4 analysts) and fades to 2.0% by 2031E
- **EBITDA margin path:** 13.1% in 2026E to 15.3% in 2031E; D&A 3.4% and capex 5.6% normalising to 3.6% of revenue; tax rate 22%
- **Unlevered FCF** rises from NOK 216m to NOK 468m over the forecast period (9.1% FCF margin in 2031E)
- **Valuation vs peers:** Kid trades at 11.9x LTM EV/EBITDA versus a peer median of 10.5x (+13%) and 19.1x P/E versus 19.7x
- **Street view:** consensus target of NOK 139.50 across 4 analysts (+14% vs current price)

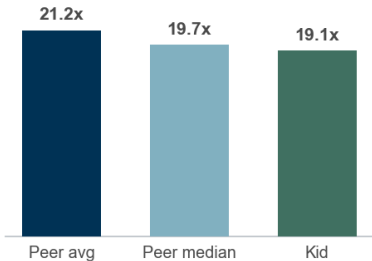
EV/EBITDA (LTM)



EV/EBIT (LTM)



P/E (LTM)



Sources: Company reports, Yahoo Finance, Equity Research Engine estimates; peer multiples on last reported fiscal year
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Valuation and recommendation

We recommend a HOLD. Our 12-month target price of NOK 126.00 implies +3% upside and a +11% total return including dividend; 10.9x 2026E EV/EBITDA.

DCF fair value NOK 125.26, peer multiples NOK 105.82, scenario-weighted NOK 129.60 versus a share price of NOK 122.20 — HOLD

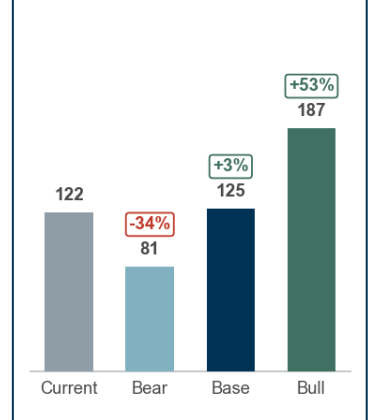
HOLD – 12m TP NOK 126.00 · medium agreement

- **DCF value of NOK 125.26 per share** (WACC 8.6%, terminal growth 2.0%); terminal value is 76% of EV, implying 9.1x exit EV/EBITDA
- **Peer multiples imply NOK 105.82 per share** (median of EV/EBITDA, EV/EBIT and P/E-based values)
- **Scenarios:** bear NOK 81 / base NOK 125 / bull NOK 187; probability-weighted NOK 129.60
- **12-month target price NOK 126.00:** fair value NOK 125.26 (valued at 23.09.2026) rolled forward at the 8.8% cost of equity less NOK 10.00 dividend; expected total return +11%, rating HOLD

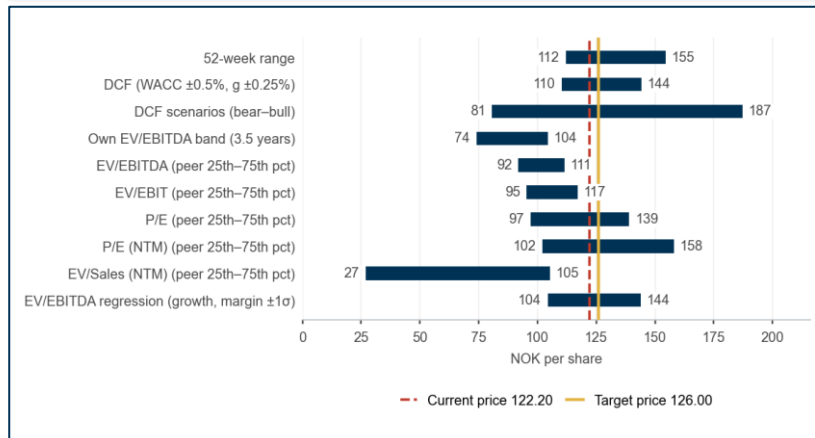
DCF valuation – Sensitivity analysis (value per share)

Terminal growth \ WACC	7.10%	7.60%	8.10%	8.60%	9.10%	9.60%	10.10%
1.25%	150.6	135.9	123.5	112.7	103.4	95.1	87.8
1.50%	157.1	141.4	128.1	116.6	106.7	98.0	90.3
1.75%	164.3	147.3	133.0	120.8	110.2	101.1	93.0
2.00%	172.2	153.7	138.3	125.3	114.0	104.3	95.8
2.25%	180.8	160.7	144.1	130.1	118.1	107.8	98.8
2.50%	190.5	168.5	150.4	135.3	122.5	111.5	102.0
2.75%	201.2	177.0	157.3	141.0	127.3	115.5	105.4

DCF scenarios

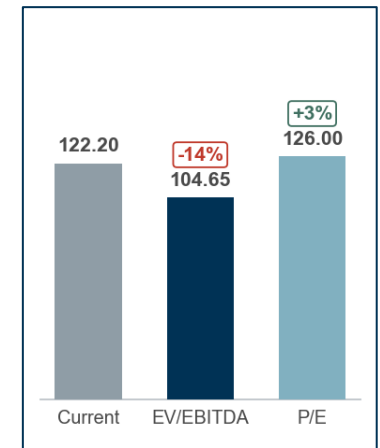


Valuation summary – Football field



Multiple valuation and what the price implies

- **Trading at a premium:** 11.9x EV/EBITDA vs 10.5x peer median (13% premium)
- **Earnings multiple:** 19.1x trailing P/E vs 19.7x for peers (-3%); 13.0x vs 13.4x on next-twelve-month consensus
- **Versus own history:** 11.6x trailing EV/EBITDA is above the 3.5-year median of 9.5x (85% of weeks were cheaper)
- **EV/EBITDA-implied value:** NOK 104.65 at the peer median of 10.5x (range 92–111 across the 25th–75th percentile)
- **Market-implied WACC 8.7%,** in line with our 8.6%: the price discounts our cash flows at 13bp more than we do
- **Market-implied margin:** at our WACC the price is consistent with a 2031E EBITDA margin of 15.1% versus 15.3% in our base case
- **Cross-check – medium agreement:** the DCF is 18% above the peer-multiple value (NOK 105.82) and our target is 10% below the consensus of 4 analysts (NOK 139.50); review the growth, margin and WACC assumptions before relying on the target



Cost of capital and DCF build-up

WACC 8.60% and terminal growth 2.00% give a fair value of NOK 125.26 per share

WACC build-up		1
Component	Value	
Risk-free rate	3.80%	
Beta (raw)	0.56	
Beta (adjusted, used)	0.71	
Equity risk premium	5.00%	
Size premium	1.50%	
Cost of equity	8.83%	
Cost of debt (pre-tax)	9.01%	
Tax rate	22.0%	
Cost of debt (after tax)	7.02%	
Weight of equity	87.3%	
Weight of debt	12.7%	
WACC	8.60%	

Beta: Yahoo Finance (5y monthly); regression vs OSEBX rejected ($R^2=0.03 < 0.10$), Blume-adjusted.
Cross-check: bottom-up beta 0.94 (8 peers, unlevered median 0.82).
Size premium 1.50% (market cap USD 0.5bn).
Cost of debt: interest expense / average debt.

DCF build-up (NOKm)							2
	2026E	2027E	2028E	2029E	2030E	2031E	
Unlevered FCF	216	266	316	368	419	468	
Share still to come	50%	100%	100%	100%	100%	100%	
Years to discount	0.27	1.27	2.27	3.27	4.27	5.27	
Discount factor	0.978	0.900	0.829	0.763	0.703	0.647	
PV of FCF	107	239	262	281	295	303	
Bridge to value per share							NOKm
Sum of PV of FCF							1,487
Terminal value (Gordon growth)							7,238
PV of terminal value							4,685
Enterprise value							6,172
Less: net debt (30.06.2026)							(1,081)
Less: minority interest							0
Equity value							5,091
Shares outstanding (m)							40.6
Fair value per share (NOK, 23.09.2026)							125.26
x (1 + cost of equity 8.83%)							136.31
Less: expected dividend per share							(10.00)
12-month target price (NOK, rounded)							126.00

What the share price implies		3
▪ Implied WACC: 8.73% vs our 8.60%		
▪ Implied terminal growth: 1.83% vs our 2.00%		
▪ Implied 2031E EBITDA margin: 15.1% vs our 15.3%		
▪ Each figure solves for the one input that makes the DCF equal today's price, holding the others at the base case		

Key checks		4
▪ Terminal value is 76% of enterprise value		
▪ Implied exit multiple: 9.1x EV/EBITDA vs 11.9x today		
▪ WACC – g spread: 6.60%		
▪ Net debt / EBITDA: 1.5x		

Scenario analysis

Probability-weighted value of NOK 129.60 per share versus a share price of NOK 122.20

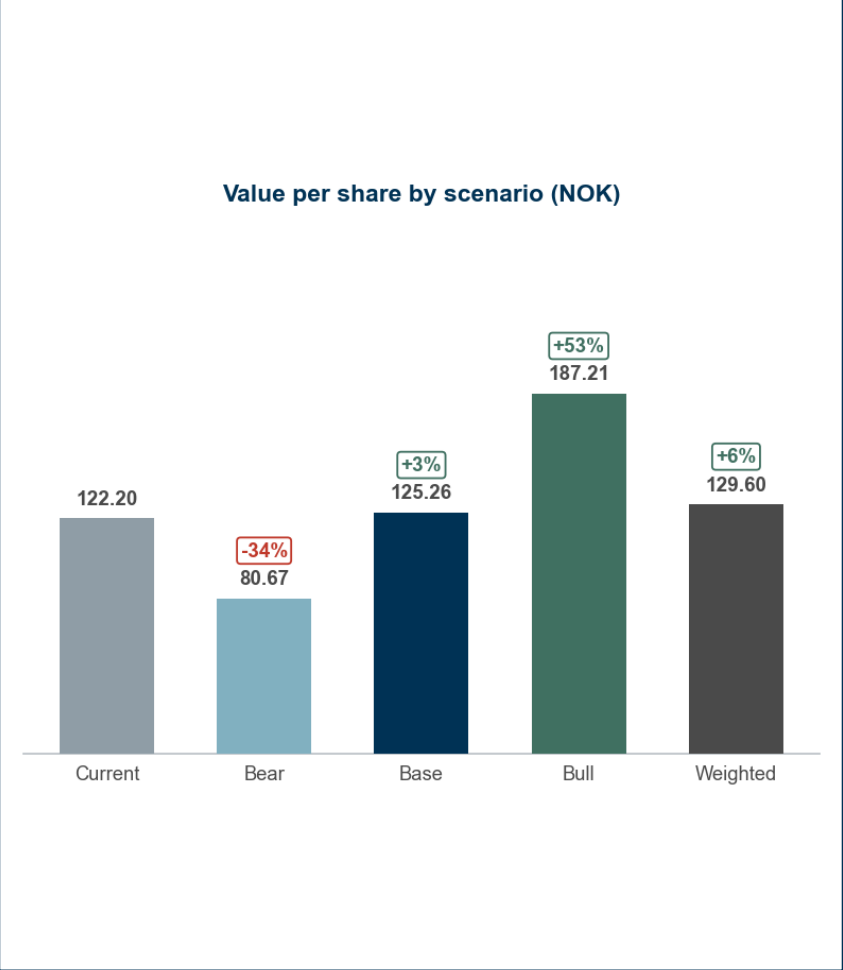
Scenario table1

Scenario	Probability	Growth shift	Margin shift	WACC	Terminal g	Revenue CAGR	2031E margin	Value (NOK)	vs price
Bear	25%	-2.0%	-1.5%	9.10%	1.75%	2.6%	13.8%	80.67	-34%
Base	50%	+0.0%	+0.0%	8.60%	2.00%	4.6%	15.3%	125.26	+3%
Bull	25%	+2.0%	+1.5%	8.10%	2.25%	6.6%	16.8%	187.21	+53%
Probability-weighted	100%							129.60	+6%

What drives each case2

- **Bear (25%):** Growth 2pp lower, margin 1.5pp lower, WACC +50bp; revenue CAGR 2.6%, 2031E margin 13.8%, WACC 9.1% gives NOK 80.67 (-34% vs price)
- **Base (50%):** Base-case drivers; revenue CAGR 4.6%, 2031E margin 15.3%, WACC 8.6% gives NOK 125.26 (+3% vs price)
- **Bull (25%):** Growth 2pp higher, margin 1.5pp higher, WACC -50bp; revenue CAGR 6.6%, 2031E margin 16.8%, WACC 8.1% gives NOK 187.21 (+53% vs price)
- Shifts are additive to the base case: growth applies to every forecast year, the margin shift to the whole EBITDA margin path; capex and working capital follow revenue as in the base case

Value per share by scenario3



Peer group detail

Last-twelve-month multiples where the quarters are reported; EV on today's market cap, the latest net debt and the same lease basis as the target company

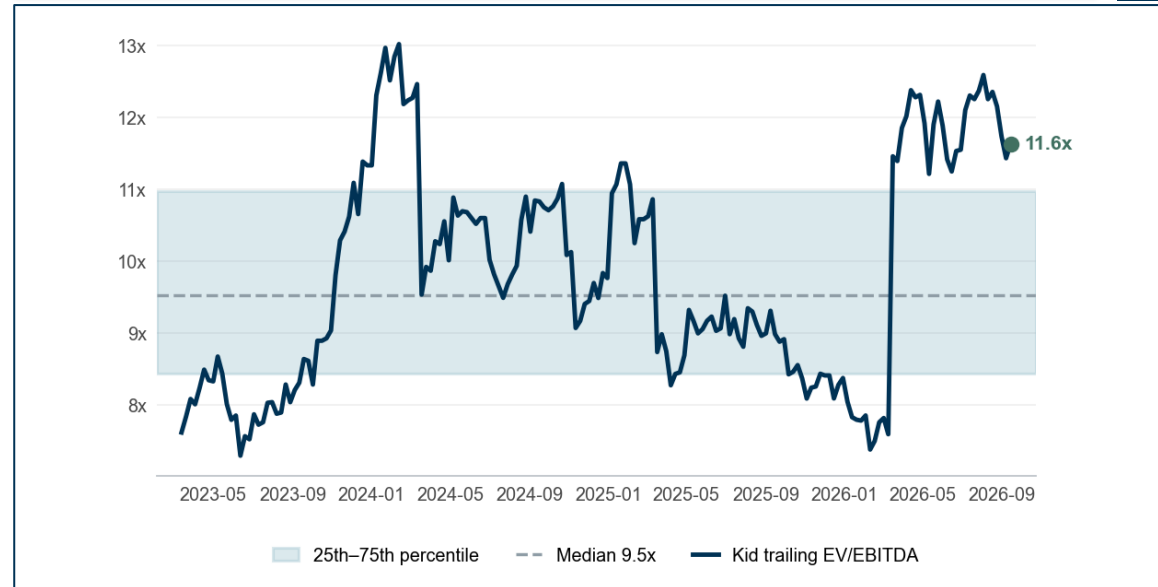
Company	Group	Mkt cap (NOKm)	EV (NOKm)	Rev. growth	EBITDA margin	EV/Sales	EV/EBITDA	EV/EBIT	P/E	P/E (NTM)
Europris	Nordic retail	13,780	15,454	16.7%	9.0%	1.0x	11.5x	13.1x	16.0x	13.0x
Clas Ohlson	Nordic retail	26,048	23,936	7.6%	13.7%	1.9x	14.0x	15.5x	21.6x	18.4x
Rusta	Nordic retail	11,288	10,725	6.5%	8.0%	0.9x	10.9x	13.7x	19.7x	16.2x
Tokmanni	Nordic retail	4,431	7,336	3.2%	4.7%	0.4x	8.3x	28.4x	—	9.6x
BHG Group	Nordic retail	3,499	4,678	6.2%	4.2%	0.4x	10.8x	15.1x	41.5x	10.4x
Bygghem	Nordic retail	3,021	3,200	2.5%	7.9%	0.5x	6.9x	12.0x	13.5x	11.0x
Orkla	Nordic consumer	90,499	112,907	3.3%	15.7%	1.6x	10.2x	12.4x	14.3x	13.8x
H&M	Nordic consumer	257,383	239,422	-2.6%	11.5%	1.1x	9.9x	14.6x	21.9x	20.2x
Peer median				4.8%	8.5%	0.9x	10.5x	14.1x	19.7x	13.4x
Peer average				5.4%	9.3%	1.0x	10.3x	15.6x	21.2x	14.1x
25th percentile				3.0%	7.1%	0.5x	9.5x	12.9x	15.2x	10.8x
75th percentile				6.8%	12.0%	1.2x	11.0x	15.2x	21.8x	16.8x
Kid	Target	4,967	6,048	4.2%	12.5%	1.5x	11.9x	15.8x	19.1x	13.0x

Valuation through time

Kid trades at 11.6x trailing EV/EBITDA against a 3.5-year median of 9.5x

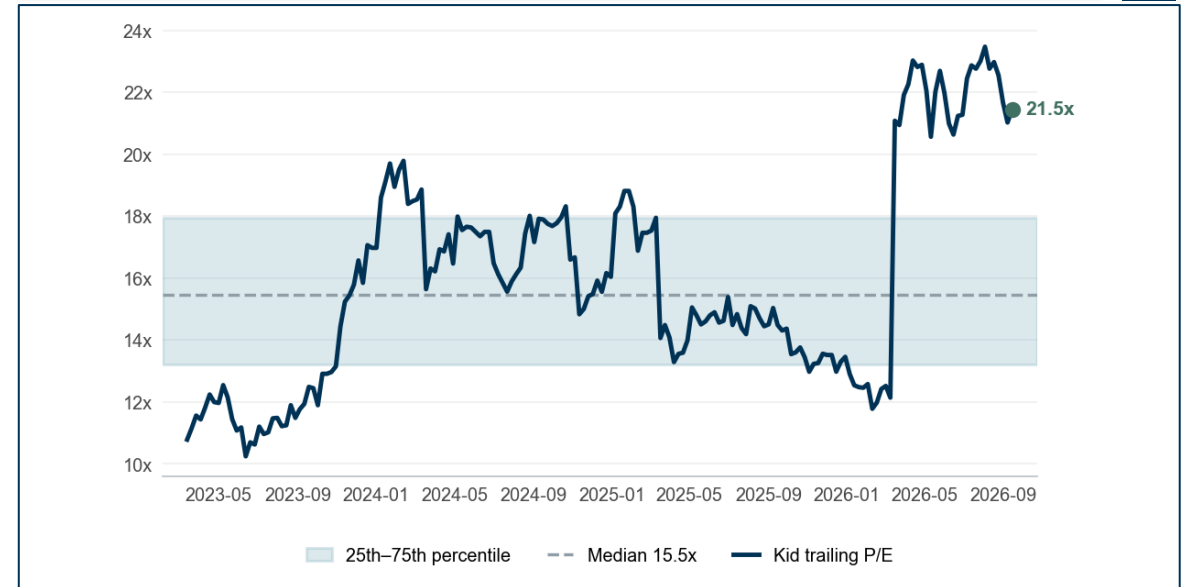
Trailing EV/EBITDA

1



Trailing P/E

2



Reading the bands

3

- **EV/EBITDA:** 11.6x today vs a median of 9.5x and an interquartile band of 8.4x–11.0x; 85% of weeks were cheaper. At its own median the share is worth NOK 87.05 (-29% vs price)
- **P/E:** 21.5x today vs a median of 15.5x and an interquartile band of 13.2x–18.0x; 90% of weeks were cheaper. At its own median the share is worth NOK 87.23 (-29% vs price)
- **Cross-check – medium agreement between the anchors:** the DCF is 18% above the peer-multiple value (NOK 105.82) and our target is 10% below the consensus of 4 analysts (NOK 139.50); review the growth, margin and WACC assumptions before relying on the target
- Each weekly close is paired with the latest fiscal year that was public at the time (75-day reporting lag), on the same lease basis as the model; net debt and the share count step once a year

Estimates vs consensus and value drivers

Our 2026E EPS of NOK 6.83 is 16% below consensus; estimate momentum is negative

Our estimates vs consensus

1

Estimate	Ours	Consensus	Difference	Low	High	Analysts
Revenue 2026E (NOKm)	4,243	4,230	+0.3%	4,201	4,270	4
Revenue 2027E (NOKm)	4,500	4,486	+0.3%	4,422	4,552	4
EPS 2026E (NOK)	6.83	8.16	-16.3%	7.57	8.75	4
EPS 2027E (NOK)	7.70	9.89	-22.2%	8.70	10.85	4

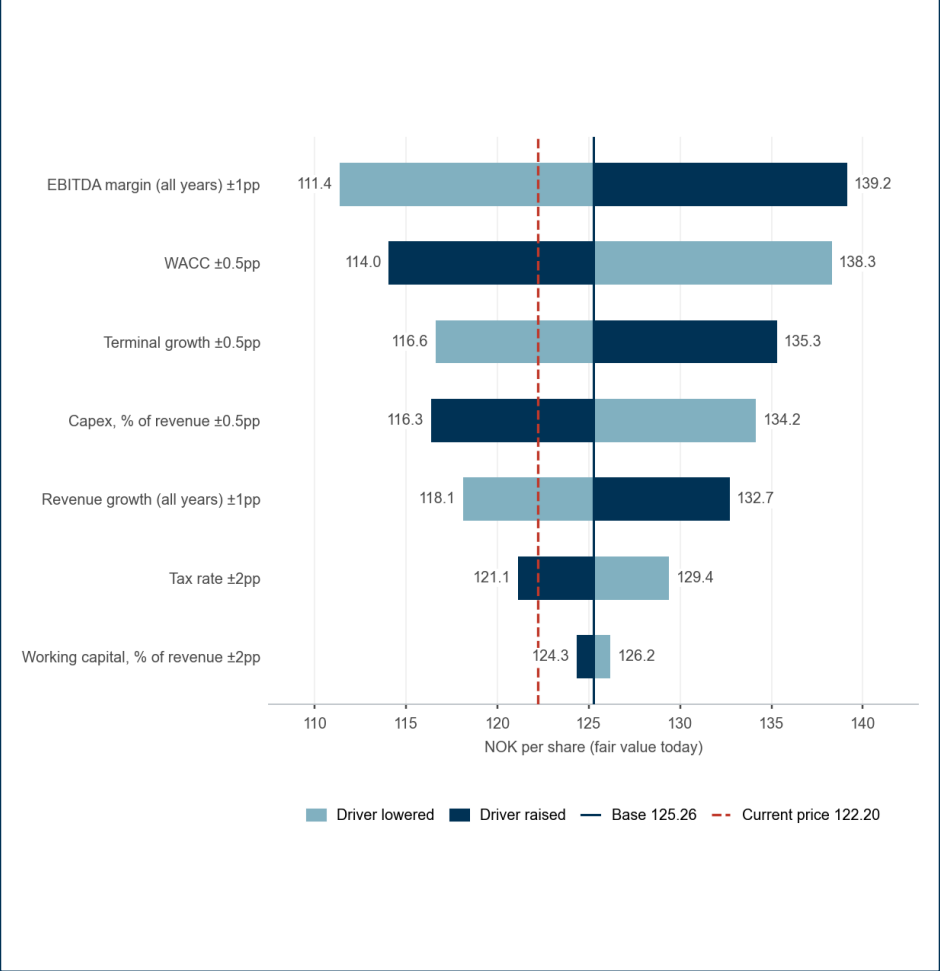
Variant view, estimate momentum and catalysts

2

- **EPS 2026E NOK 6.83 vs consensus NOK 8.16 (-16%):** we are below the 4 analysts – outside the range of estimates; 2027E -22%; our view rests on a 13.1% 2026E EBITDA margin and a 22% tax rate
- **Revenue 2026E NOK 4,243m vs consensus NOK 4,230m (+0.3%):** in line by construction – our growth is anchored on consensus, so the differentiated view sits in margins
- **Estimate momentum negative:** consensus EPS over the last 90 days 2026E -6.1%, 2027E -6.0%; 2 upward and 6 downward revisions in the last 30 days
- **05.11.2026 – Quarterly results:** consensus revenue 984, EPS 1.76

What moves the value – one driver at a time

3



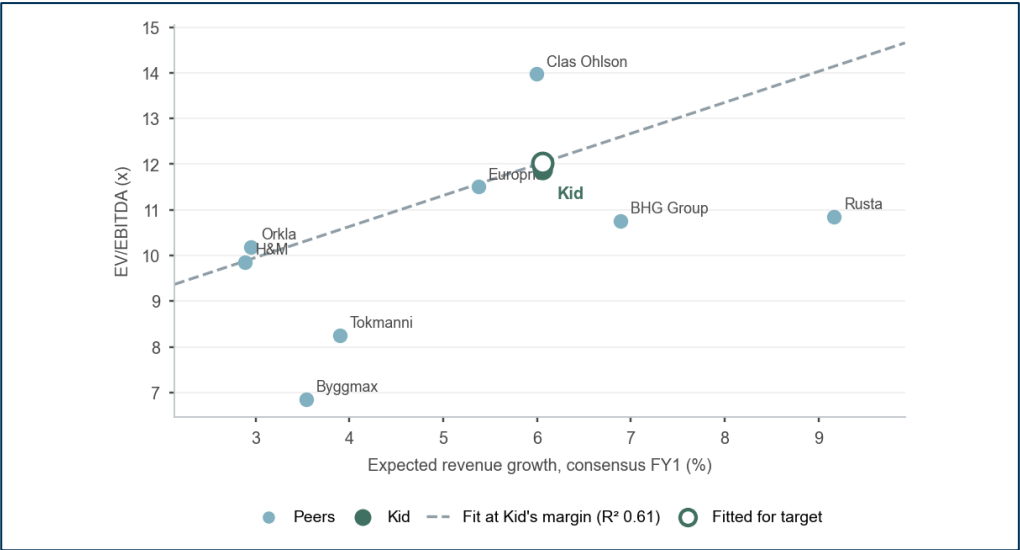
Sources: Company reports, Yahoo Finance, Equity Research Engine estimates; consensus: Yahoo Finance (mean of analyst estimates), revisions over 90 days; value drivers move one input at a time with everything else at the base case
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Multiples in depth

Growth and margin explain 61% of the dispersion in peer EV/EBITDA; fundamentals justify 12.0x for Kid against 11.9x today

EV/EBITDA against expected revenue growth

1



Reading the multiples

3

- On next-twelve-month consensus Kid trades at 13.0x P/E (peers 13.4x), 1.4x EV/Sales (peers 0.9x), 11.0x EV/EBITDA at the LTM margin (peers 9.8x); PEG 0.61 vs 1.12
- Growth and margin explain 61% of the dispersion in peer EV/EBITDA (8 peers): fundamentals justify 12.0x against the 10.5x median (+15%); the actual 11.9x leaves -1% unexplained. Evidence strong
- Regression-implied value NOK 124.12 per share (NOK 104–144 within one residual standard deviation)
- Cash and payout: -1.7% levered FCF yield vs 4.2% for peers; 8.2% dividend yield vs 4.2%
- Consensus EPS growth FY1: +21% for Kid vs +13% for the peer median – the growth the forward multiple is buying

Forward multiples and quality – consensus, calendarised to the next twelve months

2

Company	EV/Sales NTM	EV/EBITDA NTM*	P/E FY0	P/E FY1	P/E NTM	EPS growth	PEG	FCF yield	Div. yield
Europri	1.0x	10.8x	15.4x	12.3x	13.0x	+25%	0.51	3.2%	4.5%
Clas Ohlson	1.7x	12.5x	19.0x	17.7x	18.4x	+7%	2.53	5.2%	2.2%
Rusta	0.8x	9.6x	17.3x	14.9x	16.2x	+16%	1.00	3.2%	2.3%
Tokmanni	0.4x	7.8x	11.8x	8.9x	9.6x	+32%	0.30	2.0%	4.8%
BHG Group	0.4x	9.9x	12.9x	9.7x	10.4x	+33%	0.31	6.9%	—
Bygghmax	0.5x	6.6x	11.7x	10.8x	11.0x	+9%	1.25	9.6%	3.1%
Orkla	1.6x	10.0x	14.2x	13.7x	13.8x	+4%	3.60	6.6%	4.3%
H&M	1.1x	9.6x	21.0x	20.0x	20.2x	+5%	3.88	3.0%	4.2%
Peer median	0.9x	9.8x	14.8x	13.0x	13.4x	+13%	1.12	4.2%	4.2%
Kid	1.4x	11.0x	15.0x	12.4x	13.0x	+21%	0.61	-1.7%	8.2%

* NTM revenue at the LTM EBITDA margin: Yahoo Finance carries no EBITDA consensus. FY0 = fiscal year in progress; NTM = 27% of FY to 2026-12 + the rest of the following year. EV in each company's reporting currency (market cap converted from the listing currency) with the latest net debt; FCF yield is levered, after lease payments; n.m. = negative or above the cap.